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Quarterly Report for Deer Velvet in Korea
Deer Industry New Zealand

September 2010

1 Imports

1.1 VELVET IMPORTS

An analysis of the import statistics for deer velvet from June to August 2010 shows the following:

1.1.1 Young Antlers, Total – Quarterly Comparison

(Includes HS No. 0507.90.1110 Whole, plus HS No. 0507.90.1190 Other)

COUNTRY OF ORIGIN	JUN 09 – AUG 09		JUN 10 – AUG 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	1,294,844	27,537	1,851,251	33,032	42.97	57.20
Russia	714,361	5,349	642,400	4,623	-10.07	19.85
PR China	223,359	2,325	735,110	6,709	229.12	22.72
Australia	15,337	325	7,474	4	-51.27	0.23
USA	0	0	70	0	-	0.00
Total	2,247,901	35,536	3,236,305	44,368	43.97%	100.00%
NZ Share	57.60%	77.49%	57.20%	74.45%	-0.40%	-

Source: Korea Customs Service

New Zealand's market share has declined 0.40 percent from 57.60 percent to 57.20 percent. However the value and volume of New Zealand deer velvet have increased compared to the previous year.

1.1.2 Young Antlers, Total – Yearly Comparison

(Includes HS No. 0507.90.1110 Whole, plus HS No. 0507.90.1190 Other)

COUNTRY OF ORIGIN	SEP 08 – AUG 09		SEP 09 – AUG 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	8,656,003	164,312	10,737,235	175,165	24.04	48.63
Russia	6,241,292	36,363	6,796,004	50,032	8.89	30.78
China	2,658,135	24,183	4,257,506	40,061	60.17	19.29
Australia	184,695	6,442	156,958	3,657	-15.02	0.71
USA.	476	0	140	0	-70.59	0.00
Kazakhstan	0	0	129,720	1,081	-	0.59
Total	17,740,601	231,300	22,077,563	269,996	24.45%	100.00%
NZ Share	48.79%	77.03%	48.63%	64.88%	-0.16%	-

Source: Korea Customs Service

The table shows an increase in value and volume of New Zealand deer velvet compared to the previous year. New Zealand's market share has however declined 0.16 percent from 48.79 percent to 48.63 percent.

1.2 Hard Antler Imports (HS No. 0507.90.1200)

COUNTRY OF ORIGIN	JAN 09 – AUG 09		JAN 10 – AUG 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	12,000	1,000	34,200	3,420	185.00	2.50
Russia	1,152,568	107,414	1,212,692	112,976	5.22	88.53
China	122,525	11,132	0	0	-100.00	0.00
Argentina	108,500	9,961	59,674	5,000	-45.00	4.35
Australia	40	1	63,252	6,024	158,030.00	4.62
Total	1,395,633	129,508	1,369,818	127,420	-1.85%	100.00%
NZ Share	0.86%	0.77%	2.50%	2.68%	1.64%	-

Source: Korea Customs Service

The total import value of hard antler between January and August in 2010 declined 1.85 percent, compared to the previous year.

1.3 VENISON IMPORTS (HS NO. 0208.90.1000)

COUNTRY OF ORIGIN	JAN 09 – AUG 09		JAN 10 – AUG 10		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	1,957	74	1,282	310	-34.49	100.00
Total	1,957	74	1,282	310	-34.49%	100.00%
NZ Share	100.00%	100.00%	100.00%	100.00%	0.00%	-

Source: Korea Customs Service

Korea imported 310kgs of venison in 2010 to August.

1.4 DEER IMPORTS (HS NO. 0106.00.1050)

Korea did not import any live deer from January to August 2010.

1.5 QUARANTINE STATISTICS OF DEER VELVET

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY OF EXPORT	JAN 09 – AUG 09		JAN 10 – AUG 10	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	25,172.90	74,984.50	16,394.80	74,853.00
Russia	13,774.70	0.00	6,630.70	0.00
China	17,019.90	30.80	37,568.50	21.20
Hong Kong	11,342.70	0.00	18,746.10	0.00
Australia	91.60	6,431.00	60.10	2,005.50
USA.	42.10	0.60	37.10	2.90
Others	22.40	28.90	1,186.20	3.30
Total	67,466.30	81,448.80	80,623.50	76,885.90

Source: National Veterinary Research & Quarantine Service

2 Local Deer Industry

2.1 KOREA DEER BREEDERS ASSOCIATION'S DEER COMPETITION

On 22 July the Korea Deer Breeders Association held its 18th Annual Deer Contest and displayed deer velvet from 52 animals from 30 deer farms.

Mr Jin-Ho Choi's elk at Koo-Eoh Deer Farm in Kyungju, Kyungbuk-do province, was selected as the best deer with 20.51kgs of deer velvet.

Source: Nongmin Shinmoon (Farmers' newspaper), 26 July 2010

2.2 A DEER PRODUCTS DISTRIBUTION COMPANY

On 16 July the Cholla Nam-Do provincial government held a meeting with the Korea Deer Breeders Association, deer farmers and deer velvet distribution companies to introduce its plan to set up a deer products distribution company. The key idea is for deer farmers to jointly produce and sell various deer processed products, including sliced raw deer velvet, deer velvet pills, velvet and herbs extract products, and venison jerky, under a same brand name.

Source: Dailian.co.kr News, 16 July 2010

2.3 MARKET PRICE OF LIVE DEER AS OF 1 JULY 2010

			Elk	Sika	Red
2 Yr Old (2009 Born)	Female		106 (\$1,262)	41 (\$408)	49 (\$583)
	Male		236 (\$2,810)	59 (\$702)	73 (\$869)
3-4 Yr Old (2007-08 Born)	Female		126 (\$1,500)	50 (\$595)	59 (\$702)
	Male		303 (\$3,607)	79 (\$940)	95 (\$1,131)
5 Yr and Older	Female		135 (\$1,607)	55 (\$655)	69 (\$821)
	Male				
	(Velvet production volume)		(Less 10kgs) 279 (\$3,321)	(Less 1kg) 68 (\$810)	(Less 3kgs) 93 (\$1,107)
			(Less 10 – 13kgs) 295-407 (\$3,512 – 4,845)	(Less 1 – 1.3kgs) 73 – 89 (\$869 – 1,060)	(Less 3 – 5kgs) 98 – 114 (\$1,167 – 1,357)
		Avg	351 (\$4,179)	81 (\$964)	106 (\$1,262)
			(Less 13 – 17kgs) 416 – 711 (\$4,952 – 8,464)	(Less 1.3 – 1.7kgs) 90 – 106 (\$1,071 – 1,262)	(Less 5 – 7kgs) 117 – 140 (\$1,393 – 1,667)
		Avg	563 (\$6,702)	98 (\$1,167)	128 (\$1,524)

			(Less 17– 20kgs) 666 – 1,071 (\$7,929 – 12,738)	(Less 1.7 – 2.0kgs) 106 – 127 (\$1,262 – 1,512)	(Less 7 – 9kgs) 136 – 169 (\$1,619 – 2,012)
		Avg	868 (\$10,333)	116 (\$1,381)	152 (\$1,810)
			(Over 20kgs) Over 1,181 (\$14,060)	(Over 2.0kgs) Over 134 (\$1,595)	(Over 9kgs) Over 181 (\$2,155)

Unit: KRW 10,000 (1 NZD = KRW 840)

Data Source: Monthly Yangrok (Deer Farming), July 2010 issue

3 Wholesale & Retail Price of Imported Deer Velvet (as of September 2010)

According to importers, velvet import prices from New Zealand, China and Russia increased by around five percent compared to three months ago.

As the summer is the off-season for oriental medicine clinics, the deer velvet market has been very quiet and demand for velvet has been very low. The peak season for Koreans to take oriental medicine is from September to November to better prepare for harsh winter. However it has been very warm in September this year and the demand hasn't been increased yet. Importers believe that demand for velvet may increase from October.

(Unit: Korean Won / keun = 600g)

ORIGIN	IMPORT COST	WHOLESALE PRICE	RETAIL PRICE
New Zealand	KRW240,000 – 250,000 (\$286 – 298)	KRW280,000 (\$333)	Bungol (tip): KRW420,000 – 460,000 (\$500 – 548) Sangdae (upper part): KRW300,000 – 360,000 (\$357 – 429) Jungdae (middle part): KRW200,000 – 260,000 (\$238 – 310)
China	KRW200,000 - 210,000 (\$238 – 250)	KRW240,000 – 250,000 (\$286 – 298)	Bungol: KRW420,000 – 450,000 (\$500 – 536) Sangdae: KRW300,000 – 330,000 (\$357 – 393) Jungdae: KRW150,000 – 200,000 (\$179 – 238)
Russia	KRW260,000 - 270,000 (\$310 – 321)	KRW280,000 - 320,000 (\$333 – 381)	Bungol: KRW700,000 – 800,000 (\$833 – 952) Sangdae: KRW450,000 – 500,000 (\$536 – 595) Jungdae: KRW220,000 – 250,000 (\$262 – 298)

Notes:

1. NZD 1 = Approx. KRW 840
2. Source: Deer velvet importers

3. The “wholesale price” is the price for whole sticks paid by wholesalers/slicing companies to importers and the “retail price” is the price of sliced velvet paid by oriental medicine clinics to wholesalers. The minimum sales quantity is 1 keun (16 nyang x 37.5 grams = 600 grams).

3.1 RETAIL PRICES OF NEW ZEALAND VELVET TO INDIVIDUAL CONSUMERS

Packaging: 2 nyang (75g) retail pack
Bungol (tip): KRW80,000 – 130,000 (\$95 – 155)
Sangdae (upper part): KRW70,000 – 80,000 (\$83 – 95)
Jungdae (middle part): KRW40,000 – 60,000 (\$48 – 71)

Source: A retail shop in Kyung Dong Oriental Herb Market.

4 Velvet Market Movements & Major Developments

4.1 ORIENTAL MEDICINE DOCTORS ASSOCIATION'S STATEMENT

On 15 July the Association of Korea Oriental Medicine made a statement, strongly urging to take stern legal actions against the smuggling and illegal distribution of deer velvet.

On 13 July the Seoul Customs Service arrested two people on the charge of smuggling 7mt of Chinese deer velvet inside mattresses.

The association said, "Smuggled deer velvet can cause harm to the people's health as they don't go through due customs clearance procedure and quarantine/ inspection procedures. However all oriental medicine hospitals and clinics in Korea purchase and use safe deer velvet that is legally imported and tested."

Mr Jeong-Kon Kim, Chairman of the association, was quoted as saying, "The strong measures must be prepared to deter smuggling of oriental medicine raw materials that threat the people's health."

Source: Maeil Economic Daily, 15 July 2010

4.2 SMUGGLERS' FAVOURITE PRODUCTS

According to the Korea Customs Service, watches, cigarettes, ginseng, red pepper and deer velvet are the most favoured products by smugglers. These five items have been included in the ten most smuggled products for six consecutive years since 2005. The value of deer velvet that was smuggled into Korea and unearthed from 2005 to the first half of 2010 was KW15.4 billion (approx. NZ\$18 million).

Source: Yonhap News, 6 August 2010

4.3 NUMBER OF ORIENTAL MEDICINE CLINICS IN KOREA

According to the National Health Insurance Corporation, the number of oriental medicine clinics has increased 61.4 percent from the year 2000 to the year 2009.

Year	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009
Oriental Medicine Hospital	140	139	149	152	155	149	145	142	145	160
Oriental Medicine Clinic	7,249	7,558	8,119	8,718	9,171	9,760	10,293	10,859	11,321	11,789

Source: Hanyak Yutong Shinmoon (Oriental Medicine Distribution News), 30 June 2010

4.4 QCELL BIOTECHNOLOGY

With Seoul National University, this venture company developed technology to cultivate deer velvet cell and since 2007 the company has been testing various ways of using deer velvet culture fluid.

They provided diluted velvet culture fluid to layers three times a day for two months and found that egg production had improved from 85 percent to 91 percent. With broilers, they found that their mortality rate and fat content had fallen significantly.

They also found that velvet culture fluid provided mushrooms, bean sprouts and vegetables good resistance to disease and insects.

Source: Nongmin Shinmoon, 12 July 2010

4.5 KOREA DEER VELVET DEVELOPMENT RESEARCH INSTITUTE

This organisation was founded by Konkuk University in 2004 and in 2009 they developed fermented deer velvet which contains five times more ganglioside than velvet. In January 2010 they began selling a beverage product for students called 'Konkuk Nogyeong Gonbu Zzang' which contains fermented deer velvet, apple juice and various herbs that are good for promoting memory.

Source: Nongmin Shinmoon, 14 July 2010

4.6 KOREA GINSENG CORPORATION'S NEW PRODUCT

On 29 July Korea Ginseng Corporation introduced a new product called 'Jeong Kwan Jang Hongsam Jinbiwhan' for selling only through cable TV home shopping channels. This pill product contains six year old red ginseng, mushrooms, deer velvet and taurine.

Source: Kyunghyang.com News, 28 July 2010

4.7 A DEER VELVET SMUGGLING CASE

On 5 September Seoul Customs Service arrested a person on a charge of smuggling 2mt of deer velvet and fake products from China. They cleared customs by reporting them as shoes.

Source: MBC News, 5 September 2010

Prepared by:

Young-Gyun Shin
Business Development Manager
New Zealand Trade and Enterprise, Seoul